



August 27, 2024

Ref. FEDFINA/ CS/155/ 2024-25

To, National Stock Exchange of India Ltd., Listing Department Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051 Symbol: FEDFINA	To, BSE Limited, The Corporate Relationship Dept. Rotunda Building, Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai- 400 001 Scrip Code: 544027
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Sub: Business Responsibility and Sustainability Report

Dear Sir/Madam,

Pursuant to Regulations 34(2)(f) of the SEBI (Listing Obligations & Disclosure Requirements) Regulations 2015 ("Listing Regulations"), we are submitting herewith the Business Responsibility and Sustainability Report for FY24, which forms an integral part of the Annual Report FY24 of the Company, submitted to the Stock Exchanges on August 27, 2024.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully

For Fedbank Financial Services Limited

RAJARAMAN SUNDARESAN
Digitally signed by
RAJARAMAN SUNDARESAN
Date: 2024.08.27 18:00:04
+05'30'

Rajaraman Sundaresan

Company Secretary & Compliance Officer

Membership No.:F3514

Encl: As above

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Listed Entity	L65910MH1995PLC364635
2.	Name of the Listed Entity	Fedbank Financial Services Limited
3.	Year of incorporation	1995
4.	Registered office address	Unit no. 1101, 11 th Floor, Cignus, Plot No 71 A, Powai, Paspoli, Mumbai – 400087, Maharashtra.
5.	Corporate address	Unit no. 1101, 11 th Floor, Cignus, Plot No 71 A, Powai, Paspoli, Mumbai – 400087, Maharashtra.
6.	E-mail	customercare@fedfina.com
7.	Telephone	022 68520601
8.	Website	www.fedfina.com
9.	Financial year for which reporting is being done	FY 2023-24
10.	Name of the Stock Exchange(s) where shares are listed	BSE & NSE
11.	Paid-up Capital	₹ 3,69,38,68,990/-
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Anila Rajneesh 02268520638 anila.rajneesh@fedfina.com
13.	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e., only for the entity) or on a consolidated basis (i.e., for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Standalone basis
14.	Name of assurance provider	Not Applicable
15.	Type of assurance obtained	Not Applicable

II. Products/services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of the main activity	Description of business activity	% of the turnover of the entity
1	Other financial services- Lending	The Company is into the Lending business, offering Gold Loan, Loan against Property, Housing Loan, Business loan etc.	91.91%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of Total Turnover contributed
1	Gold Loan	64920	38.07
2	Mortgaged Loan	64920	39.05
3	unsecured business loan	64920	14.79

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	0	621	621
International	0	0	0

19. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	15
International (No. of Countries)	0

b. What is the contribution of exports as a percentage of the total turnover of the entity?

Not Applicable.

c. A brief on types of customers

Fedfina secured its NBFC license in 2010 and presently operates a network of 621 branches nationwide with presence in 17 states and union territories across India, with a strong footprint in the Southern and Western regions of the country.

We offer a diverse range of products, including Small Ticket Loan against Property (MSE LAP), mid ticket LAP, loans for Affordable Housing, Gold loans, Medium term working capital unsecured loans, etc..

Our affordable Home Loans are targeted at individuals with steady income streams (salaried or self-employed) but with inadequate 'Formal Income Proofs' who are hence deprived of financial assistance through traditional banking channels. We offer small ticket size loans against property (LAP) in urban, semi-urban and rural markets for meeting working capital needs, small business expansions, equipment purchases etc. as well as at times to meet personal needs like marriage, education etc. Our Mid-Size LAP Business or Mid-Ticket Home Loans are offered to self-employed customers (MSME) with mid-size/ larger businesses, established credit history, good asset base, formal income documentation etc. to meet working capital requirements, business expansions, asset finance, debt consolidation etc. We offer Gold loans to borrowers belonging to micro and small business segments, salaried, housewife, retired etc. We provide Unsecured Loans to self-employed businesses (MSME) and Professionals with established credit history and formal financials.

IV. Employees

20. Details as at the end of the Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	4262	3602	85%	660	15%
2.	Other than Permanent (E)	-	-	-	-	-
3.	Total employees (D + E)	4262	3602	85%	660	15%
WORKERS						
4.	Permanent (F)	NA				
5.	Other than Permanent (G)					
6.	Total workers (F + G)					

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	0	0	0	0	0
2.	Other than Permanent (E)	-	-	-	-	-
3.	Total differently abled employees (D + E)	0	0	0	0	0
DIFFERENTLY ABLED EMPLOYEES						
4.	Permanent (F)	NA				
5.	Other than Permanent (G)					
6.	Total differently abled workers (F + G)					

21. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	8	1	12.5%
Key Management Personnel	3	0	0%

22. Turnover rate for permanent employees and workers

(Disclose trends for the past 3 years)

	FY 2023-24			FY 2022-23			FY 2021-22		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	31%	29%	31%	29%	28%	31%	36%	35%	30%
Permanent Workers	-								

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. (a) Names of holding / subsidiary / associate companies / joint ventures

S. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated in column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	The Federal Bank Limited	Holding	61.58%	No

VI. CSR Details

24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes

(ii) Turnover (in ₹ Crores): 1623

(iii) Net worth (in ₹ Crores): 2260.83

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

VII. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (If yes, then provide web link for grievance redress policy)	FY 2023-24			FY 2022-23		
		Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks
Communities	The company has a Grievance redressal mechanism in place for capturing and addressing grievances of various stakeholders. The policy can be found on our website, on the below weblink: https://www.fedfina.com/corporate-governance/	0	0	We engage with the local community, reaching out to residents in the operational vicinity to hear their thoughts and address any concerns they may have. We haven't received any complaints during these regular interactions, which is a positive reflection of our efforts to foster open communication and understanding.	0	0	No complaints were received.
Investors (other than shareholders)		0	0	For any information or data, Investors can write to the Company Secretary & Compliance Officer. Email: secretarial@fedfina.com Tel: +91 022 68520601 All details are mentioned on the website.	0	0	No com-plaints were received.
Shareholders		0	0	For any information or data, Investors/ shareholders can write to the Company Secretary & Compliance Officer. Email: secretarial@fedfina.com Tel: +91 022 68520601 All details are mentioned on the website.	0	0	No com-plaints were received.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (If yes, then provide web link for grievance redress policy)	FY 2023-24			FY 2022-23		
		Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks
Employees and workers	The company has a Grievance redressal mechanism in place for capturing and addressing grievances of various stakeholders. The policy can be found on our website, on the below weblink: https://www.fedfina.com/corporate-governance/	0	0	No complaints were re-ceived.	7	7	All 7 complaints raised under the whistle blower policy have been successfully resolved. If an employee or director needs to communicate on any related matter, they can express themselves by sending an email directly to the Audit committee at whistleblower.fedfina.com Complaints or grievances received concerning a director under the whistle blower policy will, in appropriate or exceptional cases, be forwarded to the Chairperson of the audit committee at chairperson.audit@fedfina.com
Customers		146	146	We have a dedicated 'support' section on our website where consumers can view raise grievances related to any of the offerings and services. We also help customers raise support requests through the NBFC Helpline number 7418128882 & 08069291313 or through their registered email ID, they can mail to customercare@fedfina.com They can also do a Branch walk in & register a complaint with branch manager/ official. They can also advance up to Nodal officer or Principal Nodal officer for major complaints. 5. All details are mentioned on the company website.	73	73	All com-plaints were resolved.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (If yes, then provide web link for grievance redress policy)	FY 2023-24			FY 2022-23		
		Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks
Value Chain Partners	The company has a Grievance redressal mechanism in place for capturing and addressing grievances of various stakeholders. The policy can be found on our website, on the below weblink: https://www.fedfina.com/corporate-governance/	0	0	Our Procurement and Admin teams regularly interacts with our suppliers and other value chain partners and complaints/ grievances, if any, are resolved on a case-to-case basis.	0	0	No com-plaints were received.

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along with its financial implications.

S. No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Financial inclusion	Opportunity	There is a significant gap in the reach of financial inclusion initiatives, with many underprivileged sections of society facing challenges in accessing essential financial tools. By reaching out to the underprivileged population, Fedfina's goal is to bridge the financial gap and empower individuals economically. The ultimate aim is to contribute to the socio-economic development of these communities and enhance their overall well-being by offering them the means to save, invest, and secure their financial future.	Fedfina's Vision Statement is aligned to 'Empower Emerging India'. We have focus product programs (MSE LAP & Gold Loans) to meet working capital requirements of under-served population segments with minimal / no formal income documentation. Our Affordable Housing programs meet working capital requirements of lesser privileged sections of the society and enable them to climb up the economic curve by supporting financial inclusion.	Positive: - Accessing underserved populations broadens the customer base, potentially leading to increased revenue streams. - Establishing long-term relationships through inclusive financial services can result in sustained customer loyalty, reducing new customer acquisition costs. - We hire locals from the regions around our offices, thereby providing employment to the youth. - Empowering underprivileged populations with inclusive services can result in an overall positive impact on economic activity in the country, contributing to sustainable development.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
2.	Customer Satisfaction	Risk/ Opportunity	Customer satisfaction is a guiding principle at Fedfina. In the dynamic landscape of financial lending services in India, marked by abundant opportunities and challenges, it is essential to prioritize the needs of customers. Factors such as safety, prompt responses, and tailored services contribute significantly to customer satisfaction. Recognizing the diverse demographic profile of our customers, we understand the importance of delivering value through a variety of services, reasonable pricing, and high-quality offerings.	Our adaptable approach, rooted in a customer-centric culture, ensures we evolve with changing scenario. We prioritize satisfaction through personalized interactions and a proactive stance on industry trends. Seeking customer feedback actively, we tailor our services to meet current needs and anticipate future financial requirements. At Fedfina, customer satisfaction is an ongoing journey, where adaptability and a customer-centric mindset drive us to exceed expectations. We have set-up high-end customer feedback mechanisms and address all issues/ grievances promptly.	Negative: - Customer dissatisfaction can lead to customers switching to competitors, impacting financial performance of the company - Customer complaints can lead to imposition of fines and penalties - Loss of customer trust can impact reputation negatively Positive: - Satisfied customers develop a sense of loyalty to our brand, leading to long-term relationships and increased customer lifetime value. - Customer Retention, leading to lower new customer acquisition costs - Satisfied customers who experience fair grievance redressal are likely to share positive experiences, resulting in new customer acquisition, contributing to revenue growth.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
3.	Responsible lending and Consumer Financial Protection	Risk/ Opportunity	It is critical that organisations make lending decisions that consider not only the financial health of the borrowers but also the broader economic and social implications. It is a regulatory and a strategic necessity to prevent customers from falling victim to unfair or deceptive practices. It has become pertinent to align with the evolving consumer expectations for responsible and ethical business practices.	Fedfina's commitment to responsible lending and consumer protection is evident in its comprehensive strategy that spans policy development, risk management, customer education, technology integration, compliance, and community engagement. We continuously evaluate and endeavour to improve our lending practices, ensuring alignment with NBFC regulatory frameworks. Robust risk management initiatives include enhancing the credit assessment process and implementing reasonable Loan-to-Value ratios. We as an entity try to support up & coming smaller groups or SHGs who require a start-up capital of up to 20 Lac. We also do not promote or encourage any organization that conducts practices that will lead to harmful environmental impacts. Customer education focuses on transparency, clear communication. Technology integration employs data analytics and digital platforms for efficient, compliant lending. Employee training emphasizes ethical practices, and CSR initiatives. Continuous improvement, driven by feedback and adaptability to market conditions, positions Fedfina to significantly contribute to the long-term financial well-being of its customers.	Negative: - Monetary loss on account of fines and penalties - Reputational damage Positive: - Enhanced customer trust and reduced customer turnover - Lower default rates, translating into fewer non-performing assets and potential losses. - Competitive advantage, being the go-to organisation for all financing needs of customers - Increase in brand reputation

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4.	Human rights & grievance redressal	Opportunity	Human rights and grievance redressal should not only be a response to societal expectations but also be a strategic decision by companies to positively impact reputation, relationships with stakeholders, and overall business sustainability.	At Fedfina, we not only comply with ethical standards but also turn human rights considerations into an opportunity for positive impact, reputation enhancement, and sustainable business practices. Respecting & promoting human rights is one of the key ESG principles at Fedfina. We have dedicated policy commitments for accommodating all human rights aligning with national & international standards. All operational activities, vendor engagements & HR policies carry provisions against forced labour & child labour. They promote payments as per minimum wages, decent working conditions, grievance redressal mechanisms etc.	Positive: - Reduced legal costs resulting from proactively managing human rights risks and addressing grievances promptly. - A commitment to human rights can provide a competitive advantage in markets where ethical considerations influence consumer choices.
5.	Human Capital Development	Opportunity	In a sector like financial lending, a focus on employee development is not only an investment in the individuals but also in the overall resilience, competitiveness, and sustainability of the organization. It is important for organizations to ensure that human capital development strategies align with organizational success, enhance workforce capabilities, foster innovation, and contribute to a positive workplace culture.	At Fedfina, we believe in investing in the development of our people. Our initiatives are focussed to help create a skilled and efficient workforce, boosting productivity. We believe continuous learning drives innovation, giving us an edge in today's knowledge-based economy. We are committed to providing a safe, inclusive and respectful workplace to our employees and have put in place various measures to safeguard employee well-being and provide an engaging and interactive culture	Positive: - A positive workplace culture can lead to higher employee morale and job satisfaction, which, in the long term, contributes to increased productivity and lower turnover. - Improved employee relations leading to less disruptions, ensuring business continuity. - Reduced long-term costs associated with hiring - Continuous learning fosters innovation and adaptability, leading to long-term efficiency gains. This can result in streamlined processes and cost savings in the operational workflow.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
6.	Digital innovation	Opportunity	Balancing the risks and opportunities associated with digital innovation is essential for any organization's success. Proactive risk management, cybersecurity measures, and strategic utilization of digital technologies can maximize the positive impact while mitigating potential risks.	Technology is at the forefront of operations of the company, with relentless focus on improving customer service, process automations, robust risk management and enhancing digital footprint. We have integrated systems that spans from origination to loan management to financial statements to client servicing. All our core applications are on Cloud enabling both scale and sustenance. Technology forms the bedrock of providing multi-channel experience covering App, Web, Social and Physical We have a "phygital distribution model" that serves the customers both physically and digitally. In FY22-23, we started "door-step gold loans", a fully digital offering of gold loans at customers' doorstep. We also introduced "digi locker", a fully digital product, where the customer can utilise their credit limits, basis the stock of gold stored with us.	Positive - Digital innovations streamline processes, automate tasks, and reduce manual efforts, leading to operational cost efficiencies and improved resource allocation. - New and innovative financial products and services helps in expanding offerings and catering to diverse customer needs. - Improving digital interfaces, customer engagement platforms, and personalized services enhances the overall customer experience, potentially leading to increased customer satisfaction and loyalty. - The data generated through digital interactions can be leveraged for analytics and insights, thereby improving customer experiences.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
7.	Emissions (GHG) & energy management	Opportunity / Risk	While financial services sector in general is not one of the polluting sectors, it is important for companies to recognize the importance of efficient resource usage and demonstrate commitment to emissions reduction and energy efficiency along with other environmental aspects.	The Company makes all efforts towards conservation of energy, protection of environment and ensuring safety as follows: 1) Installation of LED (Light emitting diode) in branches /offices. 2) Creating environmental education / awareness for employees through electronic / digital form on ways and means conserve electricity and other natural resources. 3) Minimizing Air Condition usage 4) shutting of lights when not in use	Positive: - Implementing energy-efficient practices leads to reduced energy consumption, translating into significant cost savings for the organization. - Strong emissions and energy management practices may lead to a better access to green financing, with favourable terms and conditions. Negative: Cost of transition to newer technologies in the short term may impact the bottom line.
8.	Climate change	Risk	In a changing environmental landscape, it has become essential for organizations to embracing a sustainable and climate-resilient approach that aligns with long-term business continuity and success.	At Fedfina, we are committed to understand and address the multifaceted implications of climate change across all aspects of our business operations. Our operations focus on energy efficiency, reduction in GHG emissions, proper waste management as well as engaging with and training employees on climate awareness. By integrating climate change and ESG considerations into our operational strategies, we aim to not only mitigate risks but also capitalize on opportunities that arise from sustainable and socially responsible business practices.	Negative: - Upfront investments in technology, infrastructure, and training, pressurizing profitability - Business disruption due to extreme weather events, such as cyclones, hurricanes, heat or cold waves, or floods and resultant revenue impact - Failure to comply with evolving climate-related regulations can result in financial penalties and reputational damage.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
9.	Community development	Opportunity	It is important for companies to invest to enhance quality of life in the communities where they have a business presence.	Fedfina has a CSR program that focuses on strategizing and implementation of community development activities, targeted at the communities that surround its business centres and branches. The CSR activities are conducted through selection of capable implementation partners with a strong geographic presence, particularly focusing on activities like tree plantation, nutritional outreach programs, and child welfare. We have a tie-up with an NGO, MAFOI, to carry out specific CSR programmes that benefit women.	Positive: - Enhanced Brand Value - Community development efforts can build trust and loyalty among stakeholders, including customers, investors, and employees, which in turn created a positive reputation.

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity's policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	https://www.fedfina.com/corporate-governance/								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4. Name of the national and international codes/certifications/labels/ standards adopted by your entity and mapped to each principle.	NGRBC principles	NGRBC principles	NGRBC principles	NGRBC principles	NGRBC principles	NGRBC principles	NGRBC principles	NGRBC principles	ISO 27001: 2013
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Fedfina realizes the importance of setting goals to measure progress and to achieve all the principles. We have currently not set any targets, but we are tracking our green practices. We are actively working towards establishing measurable goals. Our overarching goals include: <i>Environment:</i> Reduce our carbon footprint by efficient energy management, waste management and water use. <i>Social:</i> Enhance employee well-being through wellness programs and foster diversity and inclusion across all levels of the organization. <i>Governance:</i> Increase Board diversity and Board independence, establish robust cybersecurity and data privacy measures and ensure ethical business conduct.								

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
6.	Performance of the entity against the specific commitments, goals, and targets along with reasons in case the same are not met.	We at Fedfina, consider it crucial to ensure compliance with all 9 principles of BRSR. We have started measuring our GHG emissions from this year and plan to take steps for reduction in the upcoming years. We have also started exploring methods to track our water use and measure our waste generation. We follow fair labour practices across all our operations and are committed towards protection of human rights. We encourage diversity & inclusion at all levels of the organisation. Customer satisfaction is of paramount importance for us. We give back to the communities we operate in by supporting several NGOs as a part of our community engagement programmes. We have several policies in place to ensure customer/ stakeholder protection, like anti-corruption, anti- bribery and data privacy policies. We ensure transparent and accurate reporting by putting all relevant corporate governance information on our website.								
Governance, leadership, and oversight										
7.	Statement by director responsible for the business responsibility report, highlighting ESG -related challenges, targets, and achievements	Fedfina has been a transformative force with over 13+ years of providing loans at reduced rates through its extensive network of 573+ branches. Despite our robust product offerings, we recognize and face several challenges in the implementation of Environmental, Social, and Governance (ESG) principles, in our own operations as well as the value chain. In the environmental domain, challenges include addressing our carbon footprint, energy consumption, and the impacts of climate change. On the social aspect, ensuring financial inclusion, customer protection, and fostering diversity and inclusion pose challenges. On the governance front, maintaining high ethical standards, transparency, and compliance with regulatory requirements remain focal points. In the fiscal year 2023, we initiated the incorporation of Environmental, Social, and Governance (ESG) principles into our business operations, reinforcing our commitment to sustainability. We conducted a comprehensive baseline assessment of our greenhouse gas (GHG) emissions, waste management processes and other environmental indicators. Furthermore, we conducted an ESG materiality assessment, identifying key topics relevant to our company and sector. This assessment has informed our strategic priorities, and we are working towards developing an ESG roadmap for the future-setting internal reduction targets and defining timelines and initiatives to achieve those set targets. As we are growing and becoming sizeable in the geographies and products we are in, we have ensured our commitment to the key Environmental, Societal and Governance related policies. We have formed a board approved ESG policy to ensure that the business growth is both sustainable and stable. Keeping in mind, the issue of climate change, we have formed an in-house climate change committee. We believe that human talent is one of the key pillars for our success and growth. Our ability to attract and retain talent is demonstrated by our Company being certified as a “Great Place to Work” for the last four consecutive years, by the Great Place to Work Institute, India. Further, in calendar year 2023, we have also been recognized as one of the Top 50 Indian’s Best Workplaces in BFSI 2023’ by the Great Place to Work Institute, India. On the societal and community front, we continued our focus on responsible lending, and community engagement through CSR activities. Going forward, Fedfina assures its unwavering commitment to ESG principles, emphasizing environmental sustainability, expanding financial inclusion efforts, employee empowerment, customer satisfaction, and community development. Strengthening governance mechanisms and promoting a culture of integrity and accountability are integral to our future endeavours and looking ahead, we will continue to be dedicated to having a positive imprint on the environment and society.								
8.	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Anila Rajneesh CHRO 02268520638 anila.rajneesh@fedfina.com								
9.	Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability-related issues? If yes, provide details	No While the company presently does not have a dedicated Committee or Director responsible for decision-making on sustainability-related issues, as part of the day-to-day functions and operations, we ensure that the ESG and sustainability are continuously implemented across different management and department levels.								

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	Any other Committee									Any other-Periodic review and compliance with all statutory requirements, being first year of reporting								
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	The company complies with all the statutory requirements as applicable																	

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

11. Has the entity carried out independent assessment/evaluation of the working of its policies by an external agency? (Yes/No)	P1	P2	P3	P4	P5	P6	P7	P8	P9
	No	No	No	No	No	No	No	No	No
If yes, provide name of the agency.	-	-	-	-	-	-	-	-	-

12. If answer to question (1) above is "No" i.e., not all Principles are covered by a policy, reasons to be stated:

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)	NA								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.



Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors (BOD)	8	Our Board of Directors imbibe the best code of conduct, governing themselves with integrity and ensure ethical, transparent and accountable operations as per the Code of Conduct and NGRBC principles.	100%
Key Managerial Personnel (KMP)	3	KYC, AML, POSH, Risk Management, Performance Management	100%
Employees other than BoD and KMPs	4259	KYC, AML, POSH, Risk Management, Performance Management	100%
Workers	-	-	-

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In ₹)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine Settlement Compounding fee		1. The Reserve Bank of India, in exercise of powers conferred under section 58G(1)(b) read with section 58B (5) (aa) of the Reserve Bank of India Act, 1934 on 20 th September, 2023 imposed a monetary penalty of ₹ 8.80 Lakhs on the Company for delay in reporting of one fraud case through FMR-1 within the prescribed period. The Penalty amount of ₹ 8.80 Lakhs has been remitted to RBI Enforcement Department on 28 th September, 2023.			
		2. The Bombay Stock Exchange Limited (BSE) vide their email dated 15 th December, 2023 imposed a fine of ₹ 1,53,400/- under Regulation 52(1) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 applicable for debt listed companies for delayed submission of Unaudited Financial results for the quarter and half year ended 30 th September, 2023 beyond the prescribed timelines. The Company has paid the fine on 19 th December, 2023.			
		3. BSE vide their email dated 30 th October, 2023 imposed a fine of ₹ 11,800/- under Reg 60(2) of the SEBI (Listing Obligations and Disclosure Requirements) regulations, 2015 for delay in submission of notice of record date for repayment of debentures for ISIN INE007N07041. Further, the Company has submitted a waiver application to BSE in this regard which is currently under consideration by BSE.			

Non-Monetary				
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment Punishment		During the year under review, there were no cases where non-monetary action has been initiated or settled by any regulator / enforcement agencies / judicial institutions.		

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed:

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
NA	

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes.

The Company has an Anti-Bribery and Anti-Corruption Policy. We are committed to operating our businesses conforming to the highest moral and ethical standards. We do not tolerate bribery or corruption in any form. This commitment underpins everything we do. The Policy along with the overarching Code of Conduct is available on our website at <https://www.fedfina.com/corporate-governance/>

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2023-24	FY 2022-23
Directors	0	0
KMPs	0	0
Employees	0	0
Workers	0	0

6. Details of complaints with regard to conflict of interest:

	FY 2023-24		FY 2021-22	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	Since no complaints were received, no corrective actions were taken.	0	Since no complaints were received, no corrective actions were taken.
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	0		0	

7. Provide details of any corrective action taken or underway on issues related to fines/penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Since no complaints were received, no corrective actions were taken.

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2023-24	FY 2022-23
Number of days of accounts payables	23	65

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

		FY 2023-24	FY 2022-23
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	NA	NA
	b. Number of trading houses where purchases are made from	NA	NA
	c. Purchases from Top 10 trading houses as % of total purchases from trading houses	NA	NA
Concentration of Sales	a. Sales to dealer/ distributors as % of total sales	NA. Our offerings are directly sold to customers.	NA
	b. Number of dealers / distributors to whom sales are made	NA	NA
	c. Sales to top 10 dealer/ distributors as % of total sales to dealer/distributors	NA	NA
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	0	0
	b. Sales (Sales to related parties / Total Sales)	2.34%	2.89%
	c. Loans & advances (Loans & advances given to related parties/ Total loans & advances)	0	0
	d. Investments (Investments in related parties/ Total Investments made)	0	0

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics/principles covered under the training	% age of value chain partners covered (by value of business done with such partners) under the awareness programmes
---	--	---

The company did not conduct any ESG trainings for value chain partners this year. However, we plan to conduct such trainings to improve the ESG understanding of our value chain partners as feasible from future reporting periods.

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/ No) If yes, provide details of the same.

Yes.

Each Director of the Company is obligated to annually disclose any concern or interest they may have in the Company, other companies, bodies corporate(s), firm(s), or any other association of individuals, as well as promptly report any changes thereto. This includes the disclosure of their shareholding, and such disclosures are presented to the Board for documentation. During Board Meetings, Directors refrain from participating in discussions related to business items in which they have a concern or interest.

An annual declaration is obtained from Directors, confirming their adherence to the Company's Code of Conduct. Additionally, both Directors and Senior Management annually affirm that they have not engaged in any significant financial, commercial, or material transactions that could potentially conflict with the broader interests of the Company. This robust disclosure and affirmation process ensures transparency, ethical conduct, and alignment with the Company's governance standards.

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe



Essential Indicators

1. Percentage of R&D and capital expenditure (CAPEX) investments in specific technologies to improve the environmental and social impacts of products and processes to total R&D and CAPEX investments made by the entity, respectively.

	Amount	Percentage	Details of improvements in environmental and social impacts
R&D (in ₹ Crores)	-	0%	No R&D initiatives on environmental and social aspects were undertaken during the year.
Capex (in ₹ Crores)	-	0%	We undertook various initiatives towards conservation of energy, protection of environment and ensuring safety as follows: 1) Installation of LED (Light emitting diode) in branches / offices, saving about 20-40% of the power consumption. 2) Creating environmental education / awareness for employees through electronic / digital form on ways and means conserve electricity and other natural resources. 3) Minimizing Air Condition usage 4) Shutting of lights when not in use We have made significant investments in upgrading our architecture aimed at being nimble and support business growth. We are committed to continue investments in Technology to make us future ready and improve operational efficiencies and plan to monitor spends going forward.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

Yes.

b. If yes, what percentage of inputs were sourced sustainably?

Given the nature of our operations, there is minimal utilization of raw materials that could be locally or sustainably sourced, making this aspect not of significant concern. Nonetheless, we have recently developed a sustainable sourcing policy that outlines our strategy for sourcing and procurement, aligning with our dedication to fostering equitable practices, prioritizing health and safety, and mitigating our supply chain's impact on climate and the environment. We anticipate that all our suppliers will operate in harmony with the principles articulated in this policy. This entails their compliance with essential social, business integrity, and environmental sustainability standards, with a commitment to upholding all relevant laws and regulations.

3. Describe the processes in place to safely reclaim your products for reusing, recycling, and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Type of waste	Mechanism
Plastics (including packaging)	NA
E-waste	
Hazardous waste	
Other waste	

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

No. Extended Producer Responsibility does not apply to us.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for the manufacturing industry) or for its services (for the service industry)? If yes, provide details:

NIC Code	Name of Product / Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective /Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
Not Applicable					

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of Product / Service	Description of the risk / concern	Action Taken
Not Applicable		

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or re-used input material to total material	
	FY 2023-24	FY 2022-23
E-waste refurbished	NA	NA

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed:

	FY 2023-24			FY 2021-22		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	0	0	0	0	0	0
E-waste	0	0	0	0	0	0
Hazardous waste	0	0	0	0	0	0
Other waste	0	0	0	0	0	0

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
Not Applicable	

PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains



Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent employees											
Male	3602	3602	100%	0	0%	-	-	3602	100%	3602	100%
Female	660	660	100%	0	0%	660	100%	-	-	660	100%
Total	4262	4262	100%	0	0%	660	100%	3602	100%	4262	100%
Other than Permanent employees											
Male	NA										
Female											
Total											

b. Details of measures for the well-being of workers:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent employees											
Male	3602	3602	100%	0	0%	-	-	3602	100%	3602	100%
Female	660	660	100%	0	0%	660	100%	-	-	660	100%
Total	4262	4262	100%	0	0%	660	100%	3602	100%	4262	100%

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Other than Permanent employees											
Male	NA										
Female											
Total											

- c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format –

	FY 2023-24	FY 2022-23
Cost incurred on well- being measures as a % of total revenue of the company	0.42%	0.45%

2. Details of retirement benefits.

Benefits	FY 2023-24			FY 2022-23		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
Provident Fund	100%	NA	Yes	100%	NA	Yes
Gratuity	8%		Yes	5%		Yes
ESI	9%		Yes	20%		Yes
Others-please specify	-		-	-		-

3. Accessibility of workplaces:

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard

Yes. Each of our offices is outfitted with elevators to facilitate convenient entry for all individuals, including our differently abled employees. Our commitment is to create an inclusive environment, ensuring that individuals with mobility challenges can navigate our premises seamlessly.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes,

<https://www.fedfina.com/corporate-governance/>

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	NA	NA
Female	54%	100%		
Total	67%	100%		

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No	If yes, then give details of the mechanism in brief
Permanent Workers	NA	-
Other than Permanent Workers	NA	-
Permanent Employees	No	We have a whistleblower policy in place, allowing employees to raise grievances, and we follow a proper mechanism to thoroughly understand the facts.
Other than Permanent Employees	NA	-

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2023-24			FY 2022-23		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category €	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees						
Male	NA					
Female						
Total						
Total Permanent Workers						
Male	NA					
Female						
Total						

8. Details of training given to employees and workers:

Category	FY 2023-24					FY 2022-23				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	3602	3602	100%	2187	60.72%	2965	2965	100%	64	2.15%
Female	660	660	100%	348	52.73%	608	608	100%	2	0.32%
Total	4262	4262	100%	2535	59.48%	3573	3573	100%	66	1.87%
Workers										
Male	NA									
Female										
Total										

9. Details of performance and career development reviews of employees and worker.

Category	FY 2023-24			FY 2022-23		
	Total (A)	No. (B)	% (B / A)	Total €	No. (D)	% (D / C)
Employees						
Male	3602	3602	100%	2965	2965	100%
Female	660	660	100%	608	608	100%
Total	4262	4262	100%	3573	3573	100%
Workers						
Male	NA					
Female						
Total						

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system

Yes.

At Fedfina, our commitment is to cultivate and sustain a workplace that prioritizes the well-being and safety of all stakeholders. We aim to implement a robust health and safety management system across all business functions, fostering an environment free from injuries and illnesses.

Regular risk assessments of our operations and activities are conducted to pinpoint hazards and establish controls. Incidents are continuously monitored, reviewed, and investigated to uncover causes, allowing us to take corrective actions to prevent recurrence. We have defined roles and responsibilities at every level within the organization to coordinate the overall health and safety management system. Additionally, we ensure that all employees receive sufficient information and training on health and safety policies and procedures.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Yes, at our organization, the well-being and safety of our employees are of paramount importance. To uphold this commitment, we have established a comprehensive health and safety policy that outlines stringent measures and protocols. This policy serves as a foundation to create a secure working environment.

As part of our proactive approach to safety, we conduct quarterly fire drills. These drills are essential components of our safety initiatives, aiming to reinforce and test the effectiveness of our safety measures. Through these regular exercises, we ensure that our employees are well-prepared and familiar with the necessary procedures in case of an emergency, particularly fire-related situations.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Yes/ No)

Yes, we have established procedures for employees to report any work-related hazards, and this information is documented within the Health & Safety Framework. This framework serves as a comprehensive policy, delineating Health, and Safety standards along with Standard Operating Processes for Fedfina offices. In addition, we regularly conduct safety training sessions, mock drills, and other awareness initiatives to keep our employees well-informed.

d. Do the employees/ workers of the entity have access to non-occupational medical and healthcare services? (Yes/ No).

Yes, employees have access to non-occupational medical and healthcare services.

11. Details of safety related incidents:

Safety Incident/Number	Category	FY 2023-24	FY 2022-23
Lost Time Injury Frequency Rate (LTIFR) per one million-person hours worked)	Employees	0	0
	Workers	-	-
Total recordable work-related injuries	Employees	0	0
	Workers	-	-
No. of fatalities	Employees	0	0
	Workers	-	-
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	-	-

12. Describe the measures taken by the entity to ensure a safe and healthy workplace

All Fedfina offices are designed keeping in view the health and safety for our employees.

- We conduct regular safety training programs for employees, covering topics such as emergency procedures, proper equipment use, and hazard recognition.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

- Implement ergonomic assessments to ensure workstations and equipment are designed to prevent injuries and promote good health.
- Conduct routine workplace inspections to identify and address potential safety hazards promptly.
- Provide resources and support for mental health, recognizing the importance of overall well-being.
- Offer flexible work arrangements, where applicable, to accommodate individual needs and promote work-life balance.
- Develop and communicate clear and comprehensive safety policies tailored to the organization's operations.
- Involve employees in safety initiatives, encouraging them to actively participate in identifying and addressing hazards.
- Conduct regular safety training programs for employees, covering topics such as emergency procedures, proper equipment use, and hazard recognition.

13. Number of Complaints on the following made by employees and workers:

	FY 2023-24			FY 2021-22		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	-	0	0	-
Health & Safety	0	0	-	0	0	-

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working conditions	100%

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks/concerns arising from assessments of health & safety practices and working conditions.

No significant risks or concerns were highlighted during the assessment of health & safety practices and working conditions.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

	(Y/N)
Employees	Y
Workers	NA

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Fedfina Agreement ensures the deduction and submission of any relevant government dues. Furthermore, it performs a monthly GST reconciliation and takes necessary corrective actions

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

3. Provide the number of employees / workers having suffered high consequence work-related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2023-24	FY 2022-23	FY 2023-24	FY 2022-23
Employees	Not Applicable			
Workers				

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

No

5. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	0%
Working Conditions	0%

During the reporting period, the company did not undertake assessments for its value chain partners or suppliers. Going forward, we plan to implement such evaluations, focusing on aspects related to the working conditions and health and safety practices of suppliers, wherever feasible.

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

Not applicable

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

At Fedfina, Stakeholder Mapping involves conducting a thorough analysis to identify individuals, groups, or entities that have an impact on or are influenced by Fedfina. This includes internal stakeholders like employees and management, as well as external stakeholders such as customers, regulators, investors, suppliers, and local communities. The acknowledgment of government and regulatory bodies, industry associations, and engagement with advocacy groups is crucial. Recognizing the significance of customers, investors, suppliers, and local communities, as well as understanding public opinion, ensures a positive public image. Identifying and understanding competitors and considering internal committees further contribute to the development of effective engagement, communication, and collaboration strategies for a harmonious relationship with all relevant parties.

The policy link can be found on our website <https://www.fedfina.com/corporate-governance/>

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Customers	No	- Email, SMS, Newspaper, Pamphlets, Website, App - Customer satisfaction surveys - Marketing and advertising activities	Others- Need-based	We have transparent processes and documentation for customer engagement & on-boarding. A Welcome Letter carrying detailed T&C are shared with new customers post sanction of loan and all details, T&C of the loan facility are explained to them. We ensure timely and quality response to customer queries/ complaints through a robust customer grievance redressal & review framework. Grievances and queries are addressed through the helpline number, instant support, Get Help assistant on the website (FedBuddy) and other support channels. We engage with customers on their upliftment (financial inclusion) & awareness building as well. We also conduct regular customer satisfaction surveys to gauge feedback and improve offerings and support services.
Employees	No	- Emails and intranet - Regular, direct communication between managers, teams and individuals. - Engagement surveys and feedback mechanism - Monthly newsletters - Town halls - Training sessions	Others- Need-based 3 Yearly employee surveys	We regularly connect with our employees through the following activities: - Training calendar & Induction – annual and at the time of on-boarding respectively - Talent management and employee development initiatives - Performance appraisal – annual & timely feedback - Diversity and inclusion initiatives - Community initiatives and volunteering - Two external survey - One internal survey
Government and regulators	No	- Email, Meetings, Website - Industry and regulatory forums - Need-based one-on-one discussions with executive officials	Others- Need-based	We engage with the government and regulatory bodies to discuss rules, regulations and policies released by Government of India, RBI, & state governments, affecting the economy and sharing our viewpoints on propositions relevant to the financial services/ lending sector.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Communities	Yes	- Surveys - Face to face interactions - CSR activities	Annually	Our community engagement initiatives are designed as per the following: - Community need identification prior to planning of CSR initiatives/ programs - Volunteering activities – as per CSR project requirements Impact assessment studies at the end of CSR program period
Investors and shareholders	No	- Annual General Meetings - Earnings calls - Email broadcasts and intimation - Individual meetings with financial media, shareholders and analysts	Others- Need-based/Quarterly	We present performance review and highlights to our investors, providing updates on various aspects such as growth, profitability, dividends, financial analysis, stability, market risk, and future plans. We also engage to address queries and grievances.
Third Party service providers for Collections, provision of manpower, etc.	No	- Emails - Face to face interactions - Surveys and feedback mechanism - Training sessions	Others- Need-based	We conduct ongoing engagements with service providers in the form of performance feedback, payouts & reconciliations, grievance redressal, audits, trainings, compliance with ESG aspects (regulatory/statutory/ Company guidelines), audits and query resolution, etc.

Leadership Indicators
1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

The company has put in place a detailed strategy and roadmap to strengthen its framework around stakeholder management, focused on protecting minority interests and interests of those who are 'external' to the core operations of its businesses. The Board receives regular updates on significant feedback obtained through consultations with identified stakeholders and adherence to the established stakeholder engagement framework. This occurs on a quarterly basis, and any suggestions from the Board are duly implemented.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

We integrate feedback gathered through continuous engagement with stakeholders into our policies and procedures. In the initial stages of developing our ESG roadmap and embarking on our sustainability journey, we have identified crucial ESG material issues and prioritized them with insights from stakeholders. This input has significantly contributed to our strategic and operational decision-making.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

We have identified specific marginalized community segments as stakeholders and actively involve them through CSR initiatives, particularly focusing on activities like tree plantation, nutritional outreach programs, and child welfare for all our employees.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

PRINCIPLE 5: Businesses should respect and promote human rights**Essential Indicators****1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity:**

Category	FY 2023-24			FY 2022-23		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees / workers covered (D)	% (D / C)
Employees						
Permanent	4262	4262	100%	3573	3573	100%
Other than permanent	NA					
Total	4262	4262	100%	3573	3573	100%
Workers						
Permanent	NA					
Other than permanent						
Total						

2. Details of minimum wages paid to employees and workers:

Category	FY 2023-24					FY 2022-23				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Permanent										
Male	3602	0	0%	3602	100%	2965	0	0%	2965	100%
Female	660	0	0%	660	100%	608	0	0%	608	100%
Other than Permanent										
Male	NA									
Female										
Workers										
Permanent										
Male	NA									
Female										
Other than Permanent										
Male	NA									
Female										

3. Details of remuneration/salary/wages:**a. Median remuneration/wages**

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)	7	14,25,000	1	16,25,000
Key Managerial Personnel	3	17,882,640	0	-
Employees other than BoD and KMP	3595	4,35,600	659	3,60,000
Workers	NA			

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

b. Gross wages paid to females as % of total wages paid by the entity

	FY 2023-24	FY 2022-23
Gross wages paid to females as % of total wages paid by the entity	11.4%	11.06%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business?

Yes. All complaints, including those related to human rights, are resolved following the formal process outlined in the Grievance Redressal Policy, which is available on our website

<https://www.fedfina.com/corporate-governance/>

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

The company is dedicated to upholding and protecting human rights. Human rights matters and compliance are addressed in both the Code of Conduct and the company's general human resource practices. In addition to the existing policy for preventing sexual harassment, we have developed and put into practice a Human Rights Policy to ensure the protection of human rights for all stakeholders and to address grievances. The Stakeholder Grievance Redressal Policy outlines mechanisms for resolving grievances, and stakeholders can register their complaints through email, phone, or in writing to the designated Stakeholder contact officers.

6. Number of Complaints on the following made by employees and workers:

	FY 2023-24			FY 2021-22		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	0	0		0	0	
Discrimination at workplace	0	0		0	0	
Child Labour	0	0		0	0	
Forced Labour/ Involuntary Labour	0	0		0	0	
Wages	0	0		0	0	
Other Human Rights Issues	0	0		0	0	

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2023-24	FY 2022-23
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	0	0
Complaints on POSH as a % of female employees / workers	0	0
Complaints on POSH upheld	0	0

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

Fedfina provides equal opportunities to all employees and strives to establish a safe and supportive work environment free from prejudice, gender bias, and sexual harassment. The Policy Against Sexual Harassment at Fedfina aims to promptly and thoroughly investigate any complaint received from an employee regarding discrimination or harassment, taking remedial measures against such conduct.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

No.

However, going forward, Fedfina shall leverage existing resources to make incremental progress in our human rights risk management approach in the areas of employment and third party vendor engagement, agreements and contracts.

10. Assessments for the year.

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	0%
Forced/involuntary labour	0%
Sexual harassment	0%
Discrimination at workplace	0%
Wages	0%
Others – please specify	0%

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

Not Applicable

Leadership Indicators**1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.**

We have established a strong method for identifying and addressing various issues and concerns. Due to its effectiveness, no grievances or complaints related to human rights have been reported. Consequently, no modifications or changes were needed in the business processes to address such issues.

2. Details of the scope and coverage of any Human rights due diligence conducted.

While we did not conduct any due diligence during the current reporting period, Fedfina, recognizes and is dedicated to upholding the principles of responsible and sustainable business practices and plans to integrate human rights due diligence into its operations as applicable and feasible.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes. All our offices and branches are accessible to differently abled visitors.

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	0%
Discrimination at workplace	0%
Child Labour	0%
Forced Labour/Involuntary Labour	0%
Wages	0%

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

Not applicable

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment**Essential Indicators****1. Details of total energy consumption (Kilojoules) and energy intensity:**

Parameter	FY 2023-24	FY 2022-23
From renewable sources		
Total electricity consumption (A)	0	0
Total fuel consumption (B)	0	0
Energy consumption through other sources (C)	0	0
Total energy consumed from renewable sources (A+B+C)	0	0
From non-renewable sources		
Total electricity consumption (D)	31,34,14,83,075	28,36,52,07,538
Total fuel consumption (E)	52,92,79,55,000	52,65,18,90,500
Energy consumption through other sources (F)		
Total energy consumed from non-renewable sources (D+E+F)	84,26,94,38,075	81,01,70,98,038
Total energy consumed (A+B+C+D+E+F)	84,26,94,38,075	81,01,70,98,038
Energy intensity per rupee of turnover (kJ/ ₹)	5.19	6.67
(Total energy consumed / Revenue from operations)		
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity* (PPP) (kJ/ \$)	118.79	152.61
(Total energy consumed / Revenue from operations adjusted for PPP)		
Energy intensity in terms of physical output	-	-
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-

*Note:

"Currently we do not monitor our water discharge. Therefore, we have assumed water consumption is equal to water withdrawal"

PPP Conversion factor is taken as 22.88 as per OECD PPP 2022 data(<https://data.oecd.org/conversion/purchasing-power-parities-ppp.htm>)

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

No, none of our sites are covered under PAT scheme.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

3. Provide details of the following disclosures related to water:

Parameter	FY 2023-24	FY 2022-23
Water withdrawal by source (in kilolitres)		
(i) Surface water		
(ii) Groundwater		
(iii) Third party water	33,250	27,171
(iv) Seawater / desalinated water		
(v) Others		
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	33,250	27171
Total volume of water consumption (in kilolitres)*	33,250	27171
Water intensity per rupee of turnover (KL/₹ Cr)	20.49	22.37
(Total water consumption / Revenue from operations)		
Water intensity per rupee of turnover adjusted for Purchasing Power Parity* (PPP) (KL/Million \$)	46.87	51.18
(Total water consumption / Revenue from operations adjusted for PPP)		
Water intensity in terms of physical output	-	-
Water intensity (optional) – the relevant metric may be selected by the entity	-	-

*Note:

PPP Conversion factor is taken as 22.88 as per OECD PPP 2022 data(<https://data.oecd.org/conversion/purchasing-power-parities-ppp.htm>)

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

4. Provide the following details related to water discharged:

Parameter	FY 2023-24	FY 2022-23
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water	We do not monitor our water discharge. Considering the nature of our business, water consumption and discharge are minimal and do not qualify as a significant environmental aspect.	
- No treatment		
- With treatment – please specify level of treatment		
(ii) To Groundwater		
- No treatment		
- With treatment – please specify level of treatment		
(iii) To Seawater		
- No treatment		
- With treatment – please specify level of treatment		
(iv) Sent to third-parties		
- No treatment		
- With treatment – please specify level of treatment		
(v) Others		
- No treatment		
- With treatment – please specify level of treatment		
Total water discharged (in kilolitres)		

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Since we do not have a manufacturing setup, this is not applicable.

6. Please provide details of air emissions (other than GHG emissions) by the entity.

Parameter	Please specify unit	FY 2023-24	FY 2022-23
NOx	-	-	-
Sox	-	-	-
Particulate matter (PM)	-	-	-
Persistent organic pollutants (POP)	-	-	-
Volatile organic compounds (VOC)	-	-	-
Hazardous air pollutants (HAP)	-	-	-
Others – Carbon monoxide (CO)	-	-	-

The Company uses DG sets only during power outages and hence the air emissions of pollutants are not material.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity.

Parameter	Unit	FY 2023-24			FY 2022-23		
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric Tonnes of CO ₂ equivalent	3,850			3,848		
		CO ₂	Metric Tonnes of CO ₂	3,767	CO ₂	Metric Tonnes of CO ₂	3,781
		CH ₄	Metric Tonnes of CO ₂ equivalent	31	CH ₄	Metric Tonnes of CO ₂ equivalent	25
		N ₂ O	Metric Tonnes of CO ₂ equivalent	26	N ₂ O	Metric Tonnes of CO ₂ equivalent	26
		HFCs-R22	Metric Tonnes of CO ₂ equivalent	26	HFCs-R22	Metric Tonnes of CO ₂ equivalent	15
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric Tonnes of CO ₂ equivalent	6,233			5,292		
Total Scope 1 and Scope 2 emission intensity per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	Metric Tonnes of CO ₂ equivalent / ₹ Crores of turnover	6.21			7.52		

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Parameter	Unit	FY 2023-24	FY 2022-23
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP)* (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	Metric Tonnes of CO2 equivalent / Million \$	14.22	17.22
Total Scope 1 and Scope 2 emission intensity in terms of physical output		-	-
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

*Note:

PPP Conversion factor is taken as 22.88 as per OECD PPP 2022 data(<https://data.oecd.org/conversion/purchasing-power-parities-ppp.htm>)

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency

No.

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details.

Yes. The Company makes various efforts towards conservation of energy and protection of environment as follows:

- 1) Installation of LED (Light emitting diode) in branches / offices.
- 2) Creating environmental education / awareness for employees through electronic / digital form on ways and means conserve electricity and other natural resources.
- 3) Minimizing Air Condition usage
- 4) Shutting of lights when not in use.

9. Provide details related to waste management by the entity:

Parameter	FY 2023-24	FY 2022-23
Total Waste generated (in metric Tonnes)		
Plastic waste (A)		
E-waste (B)	7.86	0.55
Bio-medical waste (C)		
Construction and demolition waste (D)		
Battery waste (E)		
Radioactive waste (F)		
Other Hazardous waste. Please specify, if any. (G)		
Non-hazardous waste generated (H):		
Scrap material	3.7	1.19
Paper waste	2.8	8.26
Total (A+B + C + D + E + F + G + H)	14.4	10.0

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Parameter	FY 2023-24	FY 2022-23
Waste intensity per rupee of turnover (MT/₹ Crores) (Total waste generated / Revenue from operations)	0.0089	0.0082
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity *(PPP) (MT/ \$ Million)* (Total waste generated / Revenue from operations adjusted for PPP)	0.0203	0.0188
Waste intensity (optional) – the relevant metric may be selected by the entity	-	-
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric Tonnes)		
Category of waste		
(i) Recycled	7.86	0.55
(ii) Re-used		
(iii) Other recovery operations		
Total	7.86	0.55
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration		
(ii) Landfilling		
(iii) Other disposal operations	6.5	9.44
Total	6.5	9.44

*Note:

PPP Conversion factor is taken as 22.88 as per OECD PPP 2022 data(<https://data.oecd.org/conversion/purchasing-power-parities-ppp.htm>)

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?

No.

- 10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.**

Due to the inherent nature of our operations, there is no utilization of hazardous and toxic chemicals. We maintain a comprehensive system for the management of e-waste, collaborating with certified handlers to ensure its proper disposal. In the fiscal year 2022-23, approximately 550 kg of e-waste was appropriately disposed of through authorized recyclers.

Our commitment to handling e-waste is grounded in environmentally conscious principles. Furthermore, our dedication to digitalization has resulted in the conservation of paper sheets this year, in line with our ESG policy's emphasis on sustainable waste management.

- 11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals/clearances are required, please specify details:**

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
Not Applicable. Fedfina does not have any operations / offices in / around ecologically sensitive areas.			

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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Not Applicable. Fedfina has not undertaken any projects that require an Environmental Impact Assessment (EIA).

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder. If not, provide details of all such non-compliances:

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
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The company is compliant with all the environmental rules and regulations.

Leadership Indicators

1. Water withdrawal, consumption, and discharge in areas of water stress (in kilolitres):

For each facility / plant located in areas of water stress, provide the following information:

- (i) Name of the area:
- (ii) Nature of operations:
- (iii) Water withdrawal, consumption, and discharge:

Parameter	FY 2023-24	FY 2022-23
Water withdrawal by source (in kilolitres)		
(i) Surface water	-	-
(ii) Groundwater	-	-
(iii) Third party water	-	-
(iv) Seawater / desalinated water	-	-
(v) Others	-	-
Total volume of water withdrawal (in kilolitres)	-	-
Total volume of water consumption (in kilolitres)	-	-
Water intensity per rupee of turnover (Water consumed / turnover)	-	-
Water intensity (optional) – the relevant metric may be selected by the entity	-	-
Water discharge by destination and level of treatment (in kilolitres)		
(i) Into Surface water	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(ii) Into Groundwater	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iii) Into Seawater	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third parties	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Parameter	FY 2023-24	FY 2022-23
(v) Others	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No.

2. Please provide details of total Scope 3 emissions & its intensity:

Parameter	Unit	FY 2023-24	FY 2022-23
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric Tonnes of CO ₂ equivalent	We do not measure Scope 3 emissions yet	
Total Scope 3 emissions per rupee of turnover			
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity			

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

3. With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable, since we do not have any operations in ecologically sensitive areas.

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives:

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
-	-	-	-

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

We have a Business Continuity Plan (BCP) in place to address the recovery and continuity of the Critical Business applications and IT Services at Fedfina in case of a disruption. The policy outlines in detail a strategic framework designed to enhance the resilience of Fedfina operations, protect the well-being of stakeholders, and contribute to the overall operational stability of the company. By integrating comprehensive risk assessment, preparedness, response, recovery, and mitigation measures, this policy aims to ensure the continuity of Fedfina services in the face of unforeseen challenges.

The policy link can be found on our website <https://www.fedfina.com/corporate-governance/>

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard?

The company acknowledges the importance of identifying substantial environmental concerns that may negatively affect our entire value chain. Although we have not conducted a formal assessment of the environmental impacts of our value chain partners, we intend evaluate the environmental impacts of our value chain partners over time.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

We did not conduct any assessment of our value chain partners for their environmental impacts in the current reporting period.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent



Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

We are not affiliated with any trade and industry chambers/ associations yet, but plan to explore as and when relevant opportunity/ requirement arises.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
NA		

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities

Company has not received any adverse order from the regulatory authority.

Name of authority	Brief of the case	Corrective action taken
Not Applicable		

Leadership Indicators

1. Details of public policy positions advocated by the entity

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly / Others – please specify)	Web Link, if available
-	-	-	-	-	-

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development



Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

We recognize the importance of assessing the social impact of our business activities. Currently, the company has not conducted any Social Impact Assessments (SIA) as required by regulations like the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Amounts paid to PAFs in the FY (In ₹)
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Not Applicable

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity:

Our operations and expansion projects have not led to the displacement of any population or their livelihoods. Consequently, we have not engaged in any Rehabilitation and Resettlement (R&R) activities.

S.NO.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In ₹)
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Not Applicable

3. Describe the mechanisms to receive and redress grievances of the community.

Our stakeholder grievance redressal policy outlines the procedures and channels through which individuals or communities can voice their grievances regarding the company's activities. The primary objective is to ensure transparent communication, fair resolution, and, when necessary, provide restitution or remediation for any adverse impacts on the community. Fedfina accepts the commitment towards accountability, social responsibility, and maintaining positive relationships with the communities in which the organization operates.

The policy can be found on our website: <https://www.fedfina.com/corporate-governance/>

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

Presently we do not have processes in place to measure sourcing from MSMEs/small producers or track locations of our suppliers, however, we plan to capture the required data points going forward.

	FY 2023-24	FY 2022-23
Directly sourced from MSMEs/ small producers	-	-
Directly from within India	100%	100%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost

Location	FY 2023-24	FY 2022-23
Rural	1%	1%
Semi-urban	6%	8%
Urban	62%	46%
Metropolitan	31%	45%

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
--	-------------------------

Not Applicable

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

S.NO.	State	Aspirational District	Amount spent (In ₹)
No CSR projects were undertaken in aspirational districts			

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No)

Yes.

- (b) From which marginalized /vulnerable groups do you procure?

Although our primary focus is lending money, we uphold a commitment to non-discrimination for individuals striving to build their future. We prioritize and support women, people with disabilities, LGBTQ, and SC/ST individuals, ensuring that our choices adhere to quality and cost-effectiveness. Additionally, when possible, we favour local small-scale businesses and similar initiatives.

- (c) What percentage of total procurement (by value) does it constitute?

0%

We plan to measure data from the next reporting period.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge

S.NO.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
Not Applicable				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved

Name of authority	Brief of the Case	Corrective action taken
Not Applicable		

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	Cuddles Foundation (Nutrition for Children suffering from cancer)	497	100%
2	Samarthanam Trust (Blind Women Cricket)	30	100%
3	Aurobindo Society (Building inclusive education)	-	100%
4	Dharma Bharati Mission (Enhancing Livelihood - Para Nursing Program)	120	100%
5	IIT Madras (Scholarship for children from EWS)	12	100%
6	Prabhaav Foundation (Tree Plantation)	-	-

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner



Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

Customers can reach out to our support care via various sources for registering complaints, such as our Call center (08069291313 & 7418128882), Chat, Email ((customer@fedfina.com), Website (<https://www.fedfina.com/about-us/>)). For grievance redressal, we provide details of Circle Nodal officers & Nodal email IDs on our website. We have a specialized Resolution desk available at Non-voice process for providing end to end service recovery for the complaints registered through the above sources.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	NA
Safe and responsible usage	100%
Recycling and/or safe disposal	NA

3. Number of consumer complaints in respect of the following:

	FY 2023-24			FY 2021-22		
	Received during the year	Pending resolution at end of year	Remarks	Received during the year	Pending resolution at end of year	Remarks
Data privacy	0	0	-	0	0	-
Advertising	0	0	-	0	0	-
Cyber-security	0	0	-	0	0	-
Delivery of essential services	0	0	-	0	0	-
Restrictive Trade Practices	0	0	-	0	0	-
Unfair Trade Practices	0	0	-	0	0	-
Other	146	146	-	73	73	-

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	Not Applicable	
Forced recalls		

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes. Our policy on Cyber security is available on our website

<https://www.fedfina.com/corporate-governance/>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

All customer complaints were resolved satisfactorily. No complaints were received specific to the mentioned categories and hence no corrective actions were taken.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (Contd.)

7. Provide the following information relating to data breaches:**a. Number of instances of data breaches**

No instances of data breach were reported or observed during the reporting period.

b. Percentage of data breaches involving personally identifiable information of customers

No instances of data breach were reported or observed for FY 2024.

At Fedfina, we have implemented robust data security measures and protocols to safeguard the confidentiality and integrity of our customers' data. We have a dedicated IT team in place to continuously monitor and evaluate our systems to identify and address any potential vulnerabilities or threats and prevent leakage of any sensitive information.

c. Impact, if any, of the data breaches

None

Leadership Indicators**1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).**

Product details are available on the company website: <https://www.fedfina.com/>

Fedfina Mobile Application: https://play.google.com/store/apps/details?id=com.fedbank.customerapp&hl=en_IN&gl=US

Further, customers / prospective customers can also reach out to our customer helpdesk on 08069291313 & 7418128882 or connect with our agents using live chat option on the website

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services

We engage with our consumers through one-on-one interactions, emails, newsletters etc. as well as through our website to inform about the safe and responsible process of financial transactions, and other benefits they can apply for.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Our service is NOT notified as an Essential Services. In case of any disruption due to technical faults or software updates are informed beforehand, and the details are made available on the website.

4. Does the entity display product information on the product over and above what is mandated as per local laws? If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

The company provides comprehensive information about its services beyond the local legal requirements through brochures, leaflets, and its website. Product details are accessible at all branches and on the website.

Customers can also access loan information through our mobile app.

We periodically conduct market research to gauge customer satisfaction, product/service feedback, and address grievances. Some of our research projects include

- Monthly assessments for customers,
- Customized research for our website and apps, and
- customized research for our products and services.